

are lower on one side, and on the other, customers are price-sensitive. Thus, manufacturers can hardly pass on the burden of higher memory component prices to consumers.”

Manufacturers have thus been gradually increasing prices instead of introducing one-off price hikes.

“If we require an overall increase of approximately 15 per cent, we try not to implement it all at once but gradually,” Sharma explains.

And it is not just smartphones. Several global manufacturers have already acknowledged increasing memory costs. In June 2026, Apple increased prices for selected MacBook, iPad, HomePod, and Apple TV models, citing higher DRAM and NAND prices. Retailers, including Currys in the UK, have also warned that laptops and smartphones are likely to become more expensive as AI infrastructure consumes a larger share of the memory supply.

Consumers are becoming more price-sensitive

In the Indian market, the entry-level smartphone segment has continued to demonstrate growth in terms of volumes, particularly among users who have upgraded to smartphones from feature phones or older 4G devices. However, the transition seems to be slowing because of rising device prices.

Sharma states that footfall at retail stores has declined, leading to longer inventory cycles at the retail level as customers looking for

INDIA SMARTPHONE MARKET, TOP 10 BRANDS			
Brands	1Q 2025 Market Share (%)	1Q 2026 Market Share (%)	YoY Unit Change (%)
vivo	19.7	19.6	-4
Samsung	16.4	17.1	0
OPPO	12.0	15.3	22
Apple	9.5	9.4	-5
Motorola	7.5	8.9	14
realme	10.6	8.8	-20
Xiaomi	7.8	8.4	3
Poco	4.3	3.8	-14
iQOO	2.3	1.9	-23
OnePlus	2.4	1.7	-32
Others	7.5	5.1	-34.6
Total	100.0	100.0	-4.1

(Source: IDC)

devices, especially in the low- and mid-range segments, are postponing their purchases.

IDC’s pricing-related data suggest that there is a visible shift in the market. In the first quarter of 2026, despite declining shipment volumes, the average smartphone selling price was US\$302, indicating growing demand for higher-priced devices.

Customers are also changing the way they pay for their devices. According to Counterpoint, financing methods will account for 42 per cent of mobile phone sales in India in 2026, compared to just 35 per cent in 2025. Due to rising component costs, particularly memory, buyers are increasingly willing to purchase their devices through instalments rather than paying the full amount upfront.

EMIs are becoming the new normal.

Supply constraints are likely to continue

Although memory output is anticipated to grow, Sharma says the market needs to recalibrate. “The pressure will remain in the short term through 2026 and possibly continue into 2027,” he says.

This outlook is in line with estimates from Gartner and other research firms regarding memory demand, which is expected to continue affecting the consumer electronics

market in the near future. According to Gartner, global PC shipments will be 10.4 per cent lower and smartphone shipments 8.4 per cent lower in 2026 due to increased component prices.

Undoubtedly, advances in AI are creating significant opportunities for the semiconductor industry. India is on the verge of establishing greater self-reliance in the sector. However, amid ongoing economic and geopolitical uncertainties, only time will tell what lies ahead for India’s consumer electronics industry. **EFY**

With inputs from Ajay Sharma, industry expert and analyst.

Shubha Mitra, Assistant Editor at EFY, is keenly interested in policies and developments shaping the electronics business.

TRACO POWER

www.tracopower.com

Point-of-Load Converters: Efficient Power Where It's Needed

- Minimized line losses
- High efficiency, low heat
- Flexible local voltage supply

